

defined as a company's total outstanding market value less private block ownership. In other words, the free-float market value of Microsoft stock does not include the value of the shares owned by Bill Gates. Free float is a common method of index construction that is widely becoming the standard for index providers.

The three Morningstar size classifications plus an extra micro-cap size cover 99 percent of the stock on the U.S. market. The four categories are:

- Large cap = largest 70 percent of investable market cap
- Midcap = next 20 percent of investable market cap (70th to 90th percentile)
- Small cap = next 7 percent of investable market cap (90th to 97th percentile)
- Microcap = remaining 2 percent of investable market cap (97th to 99th percentile)

Morningstar Style Factor

Morningstar divides its listings into three style categories depending on fundamental characteristics. These categories are value, blend, and growth. Morningstar categorizes companies using

a “multifactor” model that consists of five variables. [Table 6-3](#) highlights those five factors. The most influential factors in the equation are the stock's price compared to its past earnings and price compared to projected earnings.

TABLE 6-3

Variables and Weights Used by Morningstar in Style Analysis